

STEP 8 – TOTAL INSURANCE NEEDED

The total tells how much insurance is needed. This must be balanced against how much can be spent for insurance. If the insurance dollars are limited, it will be necessary to get as close to the plan as possible with those dollars. Term insurance with its lower initial premiums probably offers the best opportunity for adequate provision with fewest dollars.

The plan should also include instructions as to how the insurance money is to be used.

NOTE: Insurance needs should be reviewed periodically. Family changes (new additions, children becoming employed or leaving home, inflation changes, income changes, et cetera) should prompt an insurance review.